



HR Allowances

User Guide

CoreHR Internal

V27

People Management

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Document Control

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1. Introduction

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how employee allowance records are managed on People Management.

Guidance will be provided on the following topics:

- Key concepts and terminology associated with allowances.
- Creating an allowance.
- Editing an existing allowance.
- Ending an existing allowance.
- Cancelling or deleting an allowance.
- The impact of salary amendments on existing allowances.

1.2. Allowances in HR vs Payroll

The allowances that are setup in People Management for the employee's contract are 'permanent / reoccurring allowances'. These are allowances that are assigned to the employee's contract for a fixed or open-ended period. Every time payroll is run for that employee's contract, the allowance amount is calculated and included in the employee's pay.

For example: An employee is assigned a 'Night Duty' allowance of £25 per period (e.g. per month). The allowance was assigned to the employee's contract with a start date of 1st March 2019. This is open-ended i.e. no planned end date exists for the allowances and the intention is that the employee should continue to receive the allowance until further notice. Every month when Payroll is processed, the allowance of £25 will be added to the employee's calculated salary.

Once-off allowance payments are not recorded in People Management. These are once off payments that will be made for the employee for the current pay period e.g. a bonus payment. These are captured directly in Payroll.

1.3. Allowance Types

There are a number of types of allowances supported on CoreHR.

Allowance Type	Description
Value	These Allowances will pay a single specified amount every pay period e.g. if an employee is on a monthly pay group and has a standard value allowance of £100, then £100 will be paid every month. There are 2 types of 'Value' based allowances: • Standard Value: A specified amount is defined on the Allowance Pay Code and that set amount is paid for all employees linked to it, for every pay period e.g. Night Duty allowance is set at £30 per period for everyone. • Variable Value: The amount to be paid is specific to the individual employee. This is not captured at the Pay Code level but it specified when setting up the allowance for the employee. This allows different employees to receive varying values for the same Allowance Pay Code e.g. Mary has a Night Duty allowance of £30 but John has a Night Duty allowance of £40. <u>Please note:</u> if an Allowance is required to have a standard value set up at Pay Code level for the majority of employees, but it is required to capture different values for that Allowance for a handful of employees, the Pay Code standard value can be overwritten when it is being set up for each employee. Please refer to Payroll user guides for further details on how these Allowance Pay Codes are configured for the options listed above.
Percentage	These Allowances will pay a percentage of the employee's actual salary every pay period e.g. Tom gets £1000.00 per week gross pay. He gets a shift allowance of 12% of gross pay, so each week he is in receipt of an additional £120.00 shift allowance. Like the Standard Value Allowances the shift allowance percentage can be set up either at a Pay Code or employee level.
Scaled	Allows for a scale of specific allowance rates to be recorded on CoreHR and for a point on that scale to be assigned to the employee (similar to Pay Scale type salaries). • Fixed Point on Scale • Select Point on Scale

Allowance Type	Description
	Scaled Allowances are different from regular Allowances in two ways; firstly, they operate a rate depending on a point on scale and secondly, Scaled Allowances have a date effective. Having a date effective means that when calculating retrospection the Scaled Allowance can be taken into consideration.
Negative	This deducts a specified amount from the employee's salary every pay period A negative Allowance is used in cases such as maternity pay or social welfare where the employee keeps a payment from the government and needs an amount deducted from their gross pay which is non-taxable and non-PRSIable. E.g. Mary is on maternity leave. She receives and keeps the cheque from social welfare of £244 per week. Her gross pay while working is £500 per week. We want to give Mary £500 gross which is made up of £266 of maternity pay from the company and £244 of social welfare maternity pay. To pay maternity pay correctly in this instance we do the following: • Allow the system to generate Gross Pay of £500 for Mary • Set Up a Negative allowance, deduct from the gross amount • Attach the allowance to Mary with a value of £244 Euro This will deduct £244 from Mary's taxable and PRSIable gross pay. A record of the payment is on the system and can be queried from reporting and the pay history. Allowances, both positive and negative appear on the same side of a payslip.

1.4. Allowances and the Pay Multiplier

The pay *Multiplier* is not captured directly on the Allowance record. Instead this is inherited from the associated salary record on the Contract.

For Example:

- An employee is set up as a 'New Hire' with a salary of £52,000 on 26th March 2018. The *Multiplier* is 1 i.e. the employee will receive the full salary amount.
- They are assigned a standard value allowance of £25, also with a start date of 26th March 2018.
- The employee's contract is amended on 22nd May 2019 to reflect a reduction in contract hours. A corresponding salary amendment is recorded, and the *Multiplier* is reduced to 0.5. A new line

of salary history exists. No allowance amendment is required. When processing payroll after 22nd May 2019, the system will recognise that the salary *Multiplier* has been reduced to 0.5 and will reduce the allowance amount calculated to £12.50 from that date onwards.

1.5. Pay Group 'Annual Allowance Ind'

The 'Annual Allowance Ind' can be set on the Pay Group definition. This means that any allowance values entered on People Management will be for the annual amount e.g. £1,200 for the year, rather than £100 per period for a monthly payroll.

If the 'Annual Allowance Ind' is enabled for the employee's Pay Group, the user will be able to see this when adding an allowance and the screen will request an 'Annual Value' etc for the employee's allowance.

2. Managing Allowances

2.1. How are Allowances Created

Allowances are captured on CoreHR against the employee's Post Appointment / Contract. As such, different allowances may be captured for each individual contract that an employee has, if required.

Unlike the salary record, allowances are not mandatory on CoreHR.

An allowance can be created at any stage in the contract lifecycle for an employee i.e.

- It may be created as an additional step when linking an employee to a new contract e.g. once a new hire has been setup on CoreHR.
- It may be created as a step on a HR Process Task List.
- It may be required to start an allowance at a later date in the employee's contract i.e. the allowance start date does not need to be the same as the contract start date.

2.2. Viewing an Allowance

2.2.1. Where to View an Allowance

To view the allowance record(s) for an employee's contract:

1. Quick jump to the *Command Centre* widget and open *Employees*.
2. Search for the employee and click **View**.
3. Select the *Current Salary* screen.
4. Ensure the required Contract / Post Appointment is selected.

It is possible to view the allowances details for any contract that the employee has access to, for all contract statuses e.g. Pending, Started, Future, Ending & Ended

Accountant Start Date 18-Feb-2018 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Current Salary

Current Salary £42,000.00 Including Allowances £42,480.00 Next Increment Due 25-Feb-2020 Paygroup 1005 - Focus Payroll [TIMELINE VIEW](#)

Salary History

Exclude Rate History

Start Date	Rate Effective	Pay Scal...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status	Reason
25-Feb-2019	01-Jan-1990	Grade 2	2	Annual	£42,000.00	1	£42,000.00	Approved	Annual Salary Re...
18-Feb-2018	01-Jan-1990	Grade 2	1	Annual	£40,000.00	1	£40,000.00	Approved	Hire

The *Including allowances* item is available at the top of the screen.

- This displays the current actual annualised salary that the employee is in receipt of today *plus* any allowances that are active for the employee today.
- If the employee does not have any active allowances for today's date, then this displays the same value as *Current Salary*.
- If there are allowances with a future start date, these are not taken into consideration.
- If there are allowances that are future ended, but active today, these are included.
- Independent of the allowance type, this will always display the actual annualised value i.e. the value that is displayed for *Annualised* on the allowances screen.
- If a new allowance has been set up on the system that should be active today but hasn't been approved, this is not taken into account.

5. Click **Allowances** to open the Allowance screen.

- This screen is the centre for managing any permanent or reoccurring allowances for the chosen contract.
- Any allowances that already exists for the contract are displayed here including any active, ended, future ended or future starting allowances.

6. The filter option allows for the list to be updated based on:

- Approval Status (Approved, Rejected)
- Open Status
 - Open i.e. currently active
 - Ended i.e. end date is less than today
 - Cancelled
- Start Date From / To
- End Date From / To

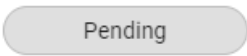
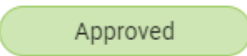
This table provides further details on each of the columns or elements displayed on the allowances list.

Element	Description
Allowance	The actual allowance that has been selected from a preconfigured list of allowances on CoreHR.
Start Date	The date that the allowance payments will start from. This date must be equal to or greater than the contract start date. This does not need to match or correlate with any other salary amendments made for the contract.
End Date	This is an optional field. If recorded, this is the last date that the allowance payments will be calculated to. If this is blank, the allowance will continue to

Element	Description
	be calculated for every payroll run as long as the contract is active for the employee. Ending a contract will automatically apply this End Date.
Type (label next to the value amount)	The type of allowance based on the Allowance selected e.g. this could be: • Standard • Percentage • Scale Point • Negative
Value	This is the actual value amount for the allowance, taking the <i>Multiplier</i> on the Salary into consideration i.e. • If the value recorded on allowance creation is 25 and the Pay Multiplier is 1, this will display 25. • If the value recorded on allowance creation is 25 and the Pay Multiplier is 0.5, this will display 12.50.
Approval Status	Whether the allowance is Approved, Pending, In Approval, Rejected, Future, Ended. • If Salary Approvals is not in use, all allowances are automatically created as “Approved”. • If Salary Approvals is in use, allowances will be created as “Pending” and must be either Approved or Rejected by nominated approvers.

2.2.2. Allowance Statuses

The following are the statuses that an allowance by have:

Status	Description
	Only relevant if using Salary Approvals. Allowance has been created but has not been approved at any level and is currently unavailable to Payroll to process.
	Only relevant if using Salary Approvals. Allowance has been approved by at least one approval level but not all and is currently unavailable to Payroll to process.
	Allowance is fully approved and may be available to Payroll to process, if the employee is on payroll. If using salary approvals, this status is only applied once all levels of approval have approved it. If not using salary approvals, the allowances will be initially created as approved.

Status	Description
Rejected	Only relevant if using Salary Approvals. One of the salary approvers has rejected the allowance.
Future	Allowance is fully approved, and the start date is <i>greater than</i> today. This may be available to Payroll to process, if the employee is on payroll. If using salary approvals, this status is only applied once all levels of approval have approved it. If not using salary approvals, the allowances will be initially created as approved.
Ended	Allowance has an End Date <i>less than</i> today.

2.3. Adding an Allowance

An allowance can be added to an employee's salary record at any stage. Unlike the salary record, these are not created automatically by the creation of a contract on CoreHR. Instead, you need to specifically create the allowance record as a separate task via the HR Process Task Lists on contract creation (if using) or at a later stage via the *Current Salary* screen, every time one is required.

Note: Some allowances may be automatically created if using Terms and Conditions. Please refer to the relevant user guides for full details on this.

The dates of the allowance are not dependent on the Start Date for the associated salary. The only conditions are that:

- the Allowance Start Date must be greater than the Contract Start Date.
- the Allowance End Date cannot be greater than the Contract End Date (if the contract has been "Ended").

To add an allowance:

- On the *Current Salary* screen, click **Allowances**.

Mary Peters (000141)

People Management > Employee Search > Mary Peters (000141)

ACTIONS

MP Active Accountant Start Date 18-Feb-2019 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Current Salary

Current Salary Awaiting ... Including Allowances Aw... Next Increment Due 18-F... Paygroup 1005 - Focus P... **TIMELINE VIEW**

Salary History

Exclude Rate History **ADD**

Start Date	Rate Effective	Pay...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay
18-Feb-2019	01-Jan-1990	Gr...	2	Annual	£30,000.00	1	£30,000.00

- Click **Add**.

3. Record the details of the new allowance.

See the table below for full description of each element on this screen. The screen has been divided into 3 separate sections to aid explanation.

Section	Field	Description
1	Allowance	Select from a predefined list of Allowance Pay Codes. These are set up and maintained in Payroll. This is a mandatory field.
	Allowance Type	Once the Allowance has been selected, the Allowance Type will be displayed in the corresponding field. This is display only.
2	Depending on the Allowance Type for the chosen Allowance, this section of the screen will dynamically update to display the fields required to be populated. These may also be prepopulated e.g. with a standard value or percentage.	
	Please see 2.3.1 Allowances Screen per Allowance Type for full details on the elements displayed per Allowance Type. 'Reason' will always be available here and is mandatory. Select this from a predefined list. This shares the list of reasons that are available on the 'Amend Salary' screen.	
3	Cost Centre	This is not mandatory. This provides the option to ensure that the Allowance value is generated to another specific Cost Centre, separate to the Cost Centre OR the Cost Allocations defined on the Contract / Post Appointment. If this is blank, the Allowance will be generated for the Contract / Post Appointment Cost Centre / Cost Allocations, as per the Salary.
	Project	This is not mandatory. This provides the option to ensure that the Allowance value is generated to another specific Project Code, separate to the Project Code OR the Cost Allocations defined on the Contract / Post Appointment. If this is blank, the Allowance will be generated for the Contract / Post Appointment Project Code / Cost Allocations, as per the Salary.
	Expense	This is not mandatory.

Section	Field	Description
		This provides the option to ensure that the Allowance value is generated to another specific Expense Code, separate to the Expense Code OR the Cost Allocations defined on the Contract / Post Appointment.
		If this is blank, the Allowance will be generated for the Contract / Post Appointment Expense Code / Cost Allocations, as per the Salary.
	Comments	This is mandatory. Enter additional text of up to 200 alphanumeric characters.

4. Click **Save** to create the new allowance record.

The Allowance is now listed on the previous screen.

- If Salary Approvals are in use, this will be created as “Pending” and must be fully approved before it will be available to Payroll to process.
- If Salary Approvals are not in use, this will be created as fully “Approved” and will be available to Payroll to process.

Accountant

Start Date 18-Feb-2019

Payroll Status: Open for Processing

Current Salary

Allowances

Increment History

Allowances

Approval Status*

ADD

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowance 3010	18-Feb-2019		Value 50.00	Pending

1 - 1 of 1

2.3.1. Allowances Screen per Allowance Type

In this section, guidance is provided on how the user should enter an allowance, based on the 'Allowance Type'.

Standard Value

If the Allowance selected has an *Allowance Type* of "Standard Value":

- The *Value* is prepopulated based on the amount captured on the Allowance Pay Code.
- This field is therefore disabled and cannot be overwritten by the hr administrator.
- This is the value the employee is **entitled** to and not necessarily exactly what they will be paid e.g.:
 - if employee is full time salaried employee they will get paid this on a monthly basis.
 - if employee is working part time on an annual salary they will not get this full value (exception being where allowance is marked as paid in full).
- If employee is an hourly/timesheet employee their entitlement may be dependent on hours they work.

If the allowance is flagged to be paid in full, the Allowance Type will show "*Standard Value (Pay In Full)*".

Allowance Details

Allowance *
Night Duty (2)

Allowance Type
Standard Value

Start Date * End Date Payroll End Date

Value *
40

Reason * Comments *

Additional Information

Cost Centre Project Expense

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Smarter HR Technology

SAVE

Variable Value

If the Allowance selected has an *Allowance Type* of "Variable Value":

- You are required to directly enter the amount to be paid in the *Value* field.
- The allowance is paid as per the examples provided in [Standard Value](#).

If the allowance is flagged to be paid in full, the Allowance Type will show “*Variable Value (Pay In Full)*”.

Allowance Details

Allowance *	Allowance Type
Night Duty (1)	Variable Value

Start Date*	End Date	Payroll End Date
Value*	Reason*	Comments*

Additional Information

Cost Centre	Project	Expense
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Scaled

If the Allowance selected has an *Allowance Type* of “Scaled”:

Allowance Details

Allowance *	Allowance Type
Point & Value Allowance	Scaled

Start Date*	End Date	Payroll End Date
Point on Scale*	Annual Amount	Reason*

Comments*

Additional Information

Cost Centre	Project	Expense
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- The hr administrator must select a 'Point on Scale' from the list available.
- The Annual Amount field will be updated to show the amount that has been set up on the system for the chosen point e.g. if point 1 the amount is 1000, if point 2 the amount is 1500 etc. This cannot be overwritten by the user.

If the allowance is flagged to be paid in full, the Allowance Type will show *"Scaled (Pay In Full)"*.

Fixed Percentage

If the Allowance selected has an *Allowance Type* of "Fixed Percentage":

- The *Percent* is prepopulated based on the amount captured on the Allowance Pay Code.
- This field is therefore disabled and cannot be overwritten by the hr administrator.

Allowance Details

Allowance *	Allowance Type	
Percentage Allowance	Fixed Percentage	

Start Date *	End Date	Payroll End Date

Percent *	Reason *	Comments *
25		

Additional Information

Cost Centre	Project	Expense

Variable Percentage

If the Allowance selected has an *Allowance Type* of "Variable Percentage":

- You are required to directly enter the amount to be paid in the *Percent* field.
- This field is therefore disabled and cannot be overwritten.

Negative Allowances

If the Allowance selected has an *Allowance Type* of "Negative [allowance type]":

- The *Value* field must show the amount that should be *deducted* from the employee.

- **Please note:** You cannot enter a minus i.e. “-“ in the field. This will be flagged to you if attempted.

Reducing Balance Allowance

If the Allowance selected has an ‘Allowance Type’ of “Reducing Balance”:

- The user must enter the value to be repaid monthly, the capital to be paid back and the balance due.
- When setting up the allowance the balance due will automatically default to the capital entered but can be changed.

Allowance

People Management > Employee Search > 27cmajor11 27cmajor11 (27C20) > Allowance

Allowance Details

Allowance*
Reducing Value

Allowance Type
Standard Value

Start* End Payroll End Date

Value*
55

Capital Sum

Balance Due

Reason* Comments*

Additional Information

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Smarter HR Technology

SAVE

On saving the allowance, the remaining balance is displayed on the *Allowances* screen.

'Pay in Full' Allowances

Allowances may be flagged as "Pay in Full" which means that the allowance paid to the employee should not be reduced if the multiplier on the employee's salary is <1.

If an allowance has been flagged as 'Pay in Full', this will be included in the Allowance Type description e.g.:

Allowance Details

Allowance *

Adhoc Value Allowance

Allowance Type

Variable Value (Pay in Full)

Start Date*

End Date

Payroll End Date

Value*

Reason*

Comments*

Additional Information

Cost Centre

Project

Expense

2.3.2. Annualised Allowances

As referenced earlier in [1.5. Pay Group 'Annual Allowance Ind'](#), if the employee is in a pay group where the 'Annual Allowance Ind' is enabled, then the amount input on the allowance in HR will be the annual amount. The screen will show this e.g. see below for a Value Allowance where the indicator is enabled for the employee's pay group:

Allowance Details

Allowance *
Night Duty (1)

Allowance Type
Variable Value

Start Date*

End Date

Payroll End Date

Annual Value*

Reason*

Comments*

Additional Information

Cost Centre

Project

Expense



SAVE

The annual amount will display on the *Allowances* screen.

Accountant

Start Date 18-Feb-2019

Payroll Status: Open for Processing

Current Salary

Allowances

Increment History

Allowances

Approval Status*

ADD

Allowance	Start Date	End Date	Value	Status
Night Duty (1) 9014	25-Feb-2019		Value 120.00	Pending

1 - 1 of 1

2.4. Editing an Existing Allowance

It is possible to edit an existing allowance for an employee. The following options may be amended:

- Value / Percentage / Point on Scale (as applicable)
- Start Date
- End Date
- Cost Centre / Project Code / Expense Code
- Reason
- Comments

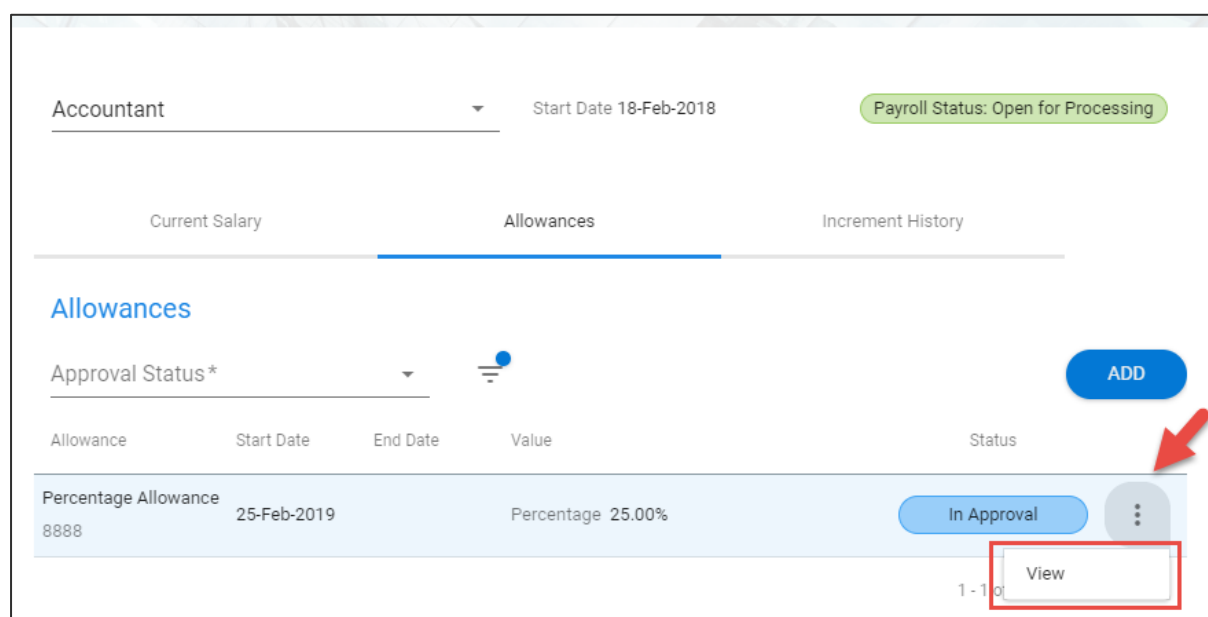
Any edits made will overwrite the existing record. A history of changes is not maintained per Allowance.

If not using 'Salary Approvals', please be aware of the following restrictions when editing an allowance.

- If the employee exists on HR but hasn't been set up on Payroll, the full details of the Allowance (as listed above) may be updated.
- If the employee exists on HR and Payroll, it is only possible to update the *End Date*.

If using 'Salary Approvals', it is also important to note the following restrictions per stage of the approval process:

- If allowance is "Pending" and has not yet been approved at the first level of approval, it is possible to edit the Allowance. The edited details will be displayed on the existing salary approval.
- If the allowance is "In Approval" i.e. it is outstanding but has been through the first level of approvals, then it is not possible to edit the allowance. The **Edit** option is not available:



The screenshot displays the 'Allowances' section of the HR system. At the top, there are fields for 'Accountant', 'Start Date 18-Feb-2018', and a green pill indicating 'Payroll Status: Open for Processing'. Below these are tabs for 'Current Salary', 'Allowances' (which is active), and 'Increment History'. The 'Allowances' section includes a filter for 'Approval Status*' and an 'ADD' button. A table lists the allowances:

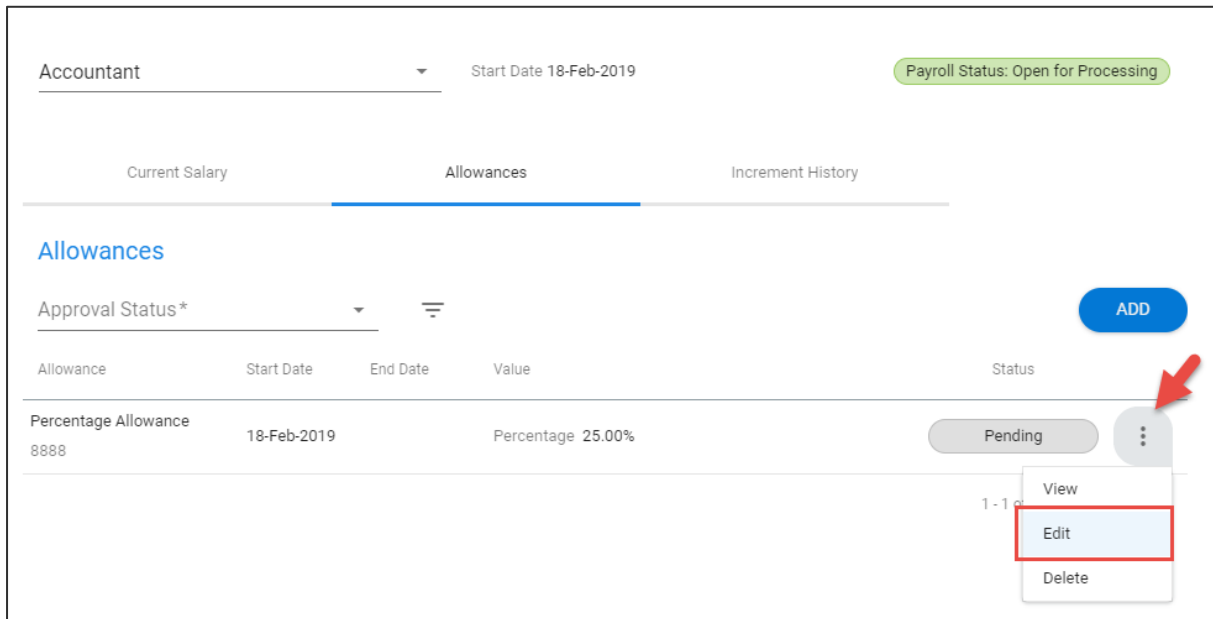
Allowance	Start Date	End Date	Value	Status	Actions
Percentage Allowance 8888	25-Feb-2019		Percentage 25.00%	In Approval	View

A red arrow points to the 'View' button in the actions column of the 'In Approval' allowance row. The 'View' button is highlighted with a red box, and the 'Edit' button is not visible, indicating that editing is not possible for allowances in this status.

- If an allowance is “Approved”, it is only possible to update the *End Date*. All other fields are no longer editable.

To edit an existing Allowance:

1. On the *Allowances* screen, click the  button for the allowance record to be edited. Status must be “Pending” or “Approved”.
2. Select the **Edit** option.



The screenshot shows the 'Allowances' screen. At the top, there's a header with 'Accountant', 'Start Date 18-Feb-2019', and 'Payroll Status: Open for Processing'. Below this is a tabbed interface with 'Current Salary', 'Allowances' (selected), and 'Increment History'. The 'Allowances' tab shows a table with columns: Allowance, Start Date, End Date, Value, and Status. There's an 'Approval Status*' dropdown and an 'ADD' button. The table has one row: 'Percentage Allowance 8888', '18-Feb-2019', 'Percentage 25.00%', and 'Pending'. A red arrow points to the 'More options' button (three dots) next to the 'Pending' status, which has opened a dropdown menu with 'View', 'Edit', and 'Delete' options. The 'Edit' option is highlighted with a red box.

3. On the next screen, edit the Allowance details as required.

It is only possible to edit:

- Value / Percentage / Point on Scale (as applicable)
- Start Date
- End Date
- Cost Centre / Project Code / Expense Code
- Reason
- Comments

 **Note:** Refer to other editing restrictions mentioned at the top of this section, as editing options available will differ depending for specific scenarios.

Allowance Details

Allowance *

Percentage Allowance

Allowance Type

Fixed Percentage

Start Date *

18-Feb-2019

End Date

Payroll End Date

Percent *

25

Reason *

HIR - Hire

Comments *

Additional Information

Cost Centre

Project

Expense



SAVE

- Click the **Save** button to save the changes.

2.5. Ending an Allowance

Ending an allowance implies that you will be applying an End Date to an existing active allowance. Once the End Date is applied, the allowance will continue to be included as part of the payroll calculations, up to and including that date.

Note: This option is not suitable if the intention is to remove / delete / cancel an allowance, to prevent it being paid.

To end an Allowance:

- On the *Allowances* screen, click the  button for the allowance record to be edited.
- Select **Edit**.
(see next page)

Accountant ▼ Start Date 18-Feb-2018 Payroll Status: Open for Processing

Current Salary Allowances Increment History

Allowances

Approval Status* ▼ ADD

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowa... 3010	18-Feb-2019		Value 40.00	Approved ⋮

1 - 1 of 1

View
Edit
Cancel

3. Enter the date in the *End Date* field.

Allowance Details

Allowance* Adhoc Value Allowance Allowance Type Variable Value

Start Date* 18-Feb-2019 End Date 19-Feb-2020 📅 Payroll End Date 📅

Annual Value* 40 Reason* HIR - Hire Comments Allowance for new contract

Additional Information

corehr SAVE

4. Click the **Save** button to end the allowance

The *End Date* is immediately visible on the *Allowances* screen and the status will be “Ended” once the end date has elapsed.

Accountant

Start Date 18-Feb-2018

Payroll Status: Open for Processing

Current Salary

Allowances

Increment History

Allowances

Approval Status*

ADD

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowance 3010	18-Feb-2019	19-Feb-2020	Value 40.00	Approved

1 - 1 of 1

2.5.1. Removing an End Date

To remove an End Date from an “Ended” allowance:

1. On the *Allowances* screen, click the  button for the allowance record to be edited.
2. Select **Edit**.
3. Delete the *End Date*.
4. Click **Save** to save changes.

The Allowance is immediately visible on the *Allowances* screen with the *End Date* removed.

Restrictions on Removing an End Date:

The **Edit** option will not be available if the allowance status is “Ended”.

 **Note:** If the End Date has been applied in error and the allowance has been ended, the corrective action for this is to add a new allowance starting on the End Date + 1.

2.6. Cancelling an Allowance

Cancelling an allowance ensures that the employee does not get paid for this allowance. This is useful if the allowance has been set up in error by HR. This process ensures that the cancelled allowance record:

- The allowance is effectively ended in both HR and Payroll.
- Is searchable in HR with a status of “Cancelled”.
- Is searchable in Payroll with a status of “Cancelled”.

An allowance can be cancelled if all of the following conditions are met:

- The Allowance is fully “Approved” i.e. if using Salary Approvals, it is not possible to cancel an allowance that is in a status of “Outstanding”.
- The allowance is visible in Payroll i.e. employee payroll setup has been completed.

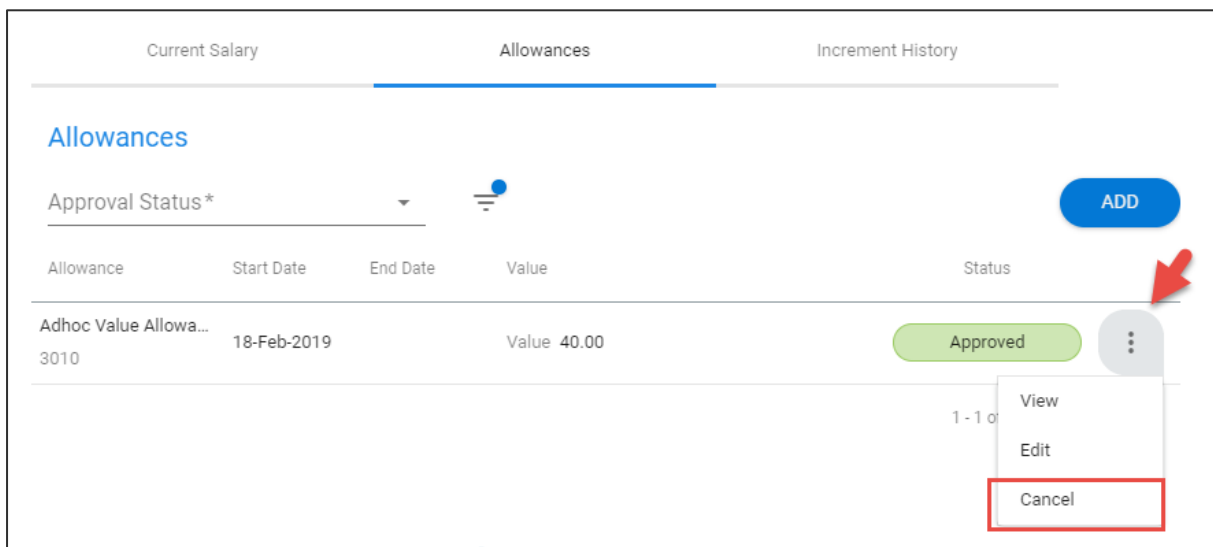
An allowance cannot be cancelled if one or all the following conditions are met:

- Allowance is “Pending” or “In Approval”.
- Allowance is not visible in Payroll i.e. this implies the employee payroll setup has not been completed.

If the allowance is fully “Approved” but not visible to Payroll (i.e. employee payroll setup has not been completed), then the **Cancel** option is not applicable. In this instance, it is possible to directly delete the allowance from the system (see [2.7 Deleting an Allowance](#) for further guidance).

To cancel an allowance:

1. On the *Allowances* screen, click the  button for the allowance record to be cancelled.
2. Select the option **Cancel**.



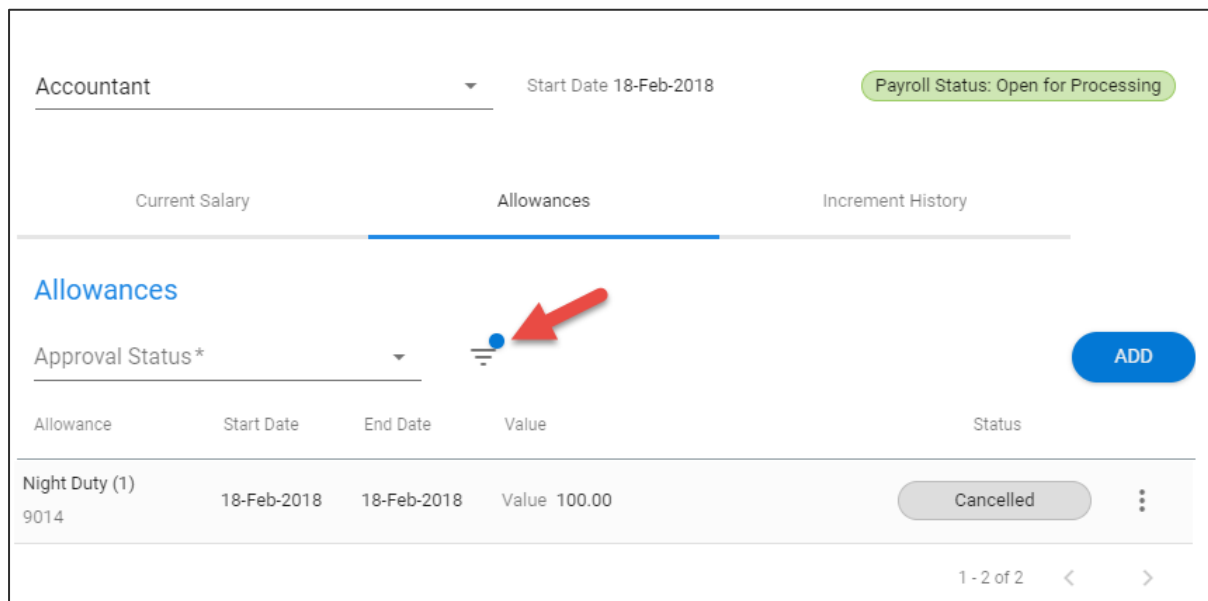
The screenshot shows the 'Allowances' screen with tabs for 'Current Salary', 'Allowances', and 'Increment History'. The 'Allowances' tab is active. Below the tabs, there's a section titled 'Allowances' with a filter 'Approval Status*' and an 'ADD' button. A table lists allowance records. The first record is 'Adhoc Value Allowance 3010' with a start date of '18-Feb-2019' and a value of '40.00'. Its status is 'Approved'. To the right of the status is a 'More options' button (three dots). A red arrow points to this button, and a dropdown menu is open, showing 'View', 'Edit', and 'Cancel' options. The 'Cancel' option is highlighted with a red box.

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowance 3010	18-Feb-2019		Value 40.00	Approved

3. Click **Yes** on the confirmation prompt.
4. The allowance will be cancelled immediately.

To view a cancelled allowance:

1. Click the filter icon on the *Allowances* screen
2. Select **Cancelled** on the *Open Status* drop-down list and click **Apply**.
3. The allowance will appear on screen with a status of “Cancelled”.



The screenshot shows the 'Allowances' screen in the People Management v27 system. At the top, there's a header with 'Accountant' (a dropdown), 'Start Date 18-Feb-2018', and a green badge indicating 'Payroll Status: Open for Processing'. Below this is a navigation bar with three tabs: 'Current Salary', 'Allowances' (which is active and highlighted with a blue line), and 'Increment History'. The main section is titled 'Allowances' in blue. It features a filter icon (a blue dot with a magnifying glass) next to the 'Approval Status*' dropdown, which is pointed to by a red arrow. To the right of the filter is a blue 'ADD' button. Below the filter is a table with the following columns: 'Allowance', 'Start Date', 'End Date', 'Value', and 'Status'. The table contains one row for 'Night Duty (1) 9014' with a start date of '18-Feb-2018', an end date of '18-Feb-2018', and a value of 'Value 100.00'. The status for this allowance is 'Cancelled', shown in a grey button. At the bottom right of the table, there is a pagination indicator '1 - 2 of 2' and navigation arrows.

Allowance	Start Date	End Date	Value	Status
Night Duty (1) 9014	18-Feb-2018	18-Feb-2018	Value 100.00	Cancelled

Cancelled allowances will still be visible in Payroll but will have a status of “Cancelled”.

2.7. Deleting an Allowance

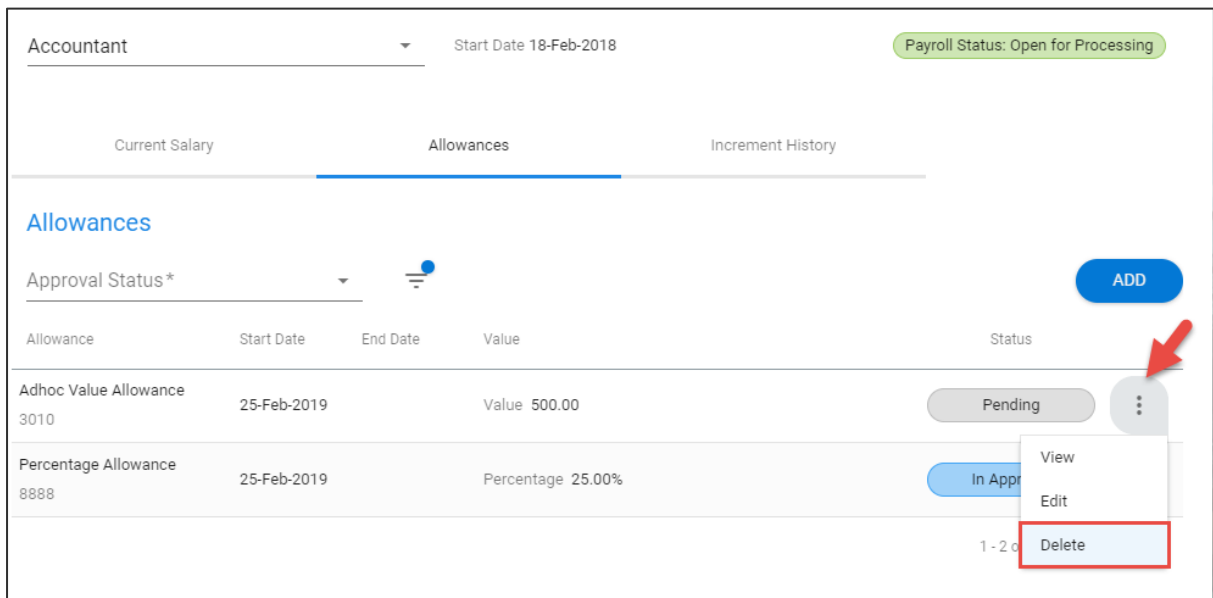
Deleting an allowance allows for the removal of the allowance record from the system to ensure that the employee does not get paid for this allowance. This is useful if the allowance has been set up in error by HR.

This differs to ‘Cancelling an Allowance’ as this option is used only if the allowance is “Pending”.

If the allowance has been fully “Approved” and passed to payroll, please refer to [2.6 Cancelling an Allowance](#) for further instructions. An “Approved” allowance cannot be deleted in People Management.

To delete an Allowance:

1. On the *Allowances* screen, click the  button for the allowance record to be deleted.
2. Select the option **Delete**.



The screenshot shows the 'Allowances' screen in the People Management system. At the top, there's a header with 'Accountant' and 'Start Date 18-Feb-2018'. Below this, there are tabs for 'Current Salary', 'Allowances', and 'Increment History'. The 'Allowances' tab is active. On the right, there's a green button labeled 'ADD' and a status indicator 'Payroll Status: Open for Processing'. Below the header, there's a table with columns: 'Allowance', 'Start Date', 'End Date', 'Value', and 'Status'. The table contains two rows: 'Adhoc Value Allowance 3010' with a start date of '25-Feb-2019' and a value of 'Value 500.00', and 'Percentage Allowance 8888' with a start date of '25-Feb-2019' and a value of 'Percentage 25.00%'. The 'Adhoc Value Allowance' row has a status of 'Pending'. A red arrow points to the 'More options' button (three dots) next to this row. A dropdown menu is open, showing 'View', 'Edit', and 'Delete' options, with 'Delete' highlighted by a red box.

3. Click **Yes** on the confirmation prompt message.
The allowance will be deleted immediately.

2.8. Impact on Allowance of Change to Salary Multiplier

In [1.4 Allowances and the Pay Multiplier](#) the relationship between the multiplier on the salary and the allowance is explained in detail.

The purpose of this section is to provide an example scenario whereby an employee's contract and salary are amended to reflect a new reduced multiplier, and how this will appear on the Allowances screen for any associated allowances. This is not relevant if the allowance is 'Pay in Full'.

Before Changes to Multiplier

The *Current Salary* screen displays the following details for an employee's contract:

- The current line of salary of £42,000 with a *Multiplier* of "1".
- Allowances of £40.

The screenshot shows the 'Current Salary' screen. At the top, there's a header with 'Accountant' (dropdown), 'Start Date 18-Feb-2018', and 'Payroll Status: Open for Processing'. Below this are three tabs: 'Current Salary' (selected), 'Allowances', and 'Increment History'. The 'Current Salary' section displays 'Current Salary £42,000.00' and 'Including Allowances £42,040.00'. It also shows 'Next Increment Due 25-Feb-2020', 'Paygroup 1005 - Focus Payroll', and a 'TIMELINE VIEW' link. Below this is the 'Salary History' section with an 'Exclude Rate History' dropdown and an 'ADD' button. A table lists salary history entries:

Start Date	Rate Effective	Pay Scale / ...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status	Reason
25-Feb-2019	01-Jan-1990	Grade 2	2	Annual	£42,000.00	1	£42,000.00	Approved	Annual Salary...
18-Feb-2018	01-Jan-1990	Grade 2	1	Annual	£40,000.00	1	£40,000.00	Approved	Hire

The *Allowance* screen shows a value of £40:

The screenshot shows the 'Allowances' screen. At the top, there's a header with 'Accountant' (dropdown), 'Start Date 18-Feb-2018', and 'Payroll Status: Open for Processing'. Below this are three tabs: 'Current Salary', 'Allowances' (selected), and 'Increment History'. The 'Allowances' section displays 'Approved' (dropdown) and an 'ADD' button. A table lists allowances:

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowance 3010	18-Feb-2019	19-Feb-2020	Value 40.00	Approved

At the bottom right, it shows '1 - 1 of 1' with navigation arrows.

After Changes to Multiplier

Current Salary screen now displays the following details for an employee's contract:

- A new line of salary with a rate of £40,000, a *Multiplier* of "0.5" resulting in *Actual Pay* of £21,000.
- Allowances of £20.

Accountant
Start Date 18-Feb-2018
Payroll Status: Open for Processing

Current Salary
Allowances
Increment History

Current Salary

Current Salary £21,000.00
Including Allowances £21,020.00
Next Increment Due 25-Feb-2020
Paygroup 1005 - Focus Payroll
TIMELINE VIEW

Salary History

Exclude Rate History
ADD

Start Date	Rate Effective	Pay Scal...	Point	Rate Type	Rate Amount	Multiplier	Actual Pay	Status	Reason
26-Feb-2019	01-Jan-1990	Grade 2	2	Annual	£42,000.00	.5	£21,000.00	Approved	Change Of Hours
25-Feb-2019	01-Jan-1990	Grade 2	2	Annual	£42,000.00	1	£42,000.00	Approved	Annual Salary Review
18-Feb-2018	01-Jan-1990	Grade 2	1	Annual	£40,000.00	1	£40,000.00	Approved	Hire

The *Allowance* screen will still show a value of £40:

Accountant
Start Date 18-Feb-2018
Payroll Status: Open for Processing

Current Salary
Allowances
Increment History

Allowances

Approved
ADD

Allowance	Start Date	End Date	Value	Status
Adhoc Value Allowance 3010	18-Feb-2019	19-Feb-2020	Value 40.00	Approved

1 - 1 of 1 < >